

Chapter Introduction

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Learning Objectives

After studying this chapter, you should be able to

- use the resource-based and institution-based views to answer why nations trade.
- understand classical and modern theories of international trade.
- realize the importance of political realities governing international trade.
- participate in two leading debates concerning international trade.

- draw implications for action.

Opening Case

Emerging Markets: Is China the Largest Trading Nation of the World?

International trade has two directions: export and import. It has two components: merchandise (goods) and services. The ratio between merchandise and service trade is generally 4:1. Is China now the world's largest trading nation?

The ubiquitous Made-in-China products around the world are the most visible evidence of the rise of China as a trading nation. Between the publication of *Global Business*'s second edition (with 2008 data) and third edition (with 2011 data), China dethroned Germany to become the world's champion merchandise exporter—a distinction it has maintained in this (fourth) edition (with 2013 data). Why does the rest of the world buy so many Made-in-China products? Without getting into details, we can safely say—from a resource-based view—that Chinese exports win markets because they deliver value, are rare, and possess hard-to-imitate attributes. Such products range from low-tech shoes and toys to high-tech smartphones (made by Lenovo and Xiaomi) and telecom equipment (made by Huawei and ZTE). With 33% of GDP coming from manufacturing (the world's highest), China's manufacturing capabilities have not only propelled its export growth, but have also underpinned its rise as the world's second-largest economy.

From an institution-based view, China's accession to the World Trade Organization (WTO) in 2001 has certainly contributed to its rise as a trading nation. In addition, it has free trade agreements (FTAs) with the Association of Southeast Asian Nations (ASEAN—with ten member countries), Chile, Costa Rica, New Zealand, Pakistan, Peru, and Singapore. China is also negotiating FTAs with Australia, Iceland, Japan, Norway, and South Korea as well as two regional bodies: the (Persian) Gulf Cooperation Council (GCC) and Southern Africa Customs Union (SACU).

While China's merchandise exports often attract attention, less visible but equally important is China's voracious appetite for merchandise imports. Between the third and fourth editions of *Global Business*, China displaced Germany as the second-largest merchandise importer—only behind the United States. The majority of Chinese imports consists of raw materials (such as Australian coal, Chilean copper, and Russian oil) and industrial supplies (such as Toshiba electronic components and Texas Instruments semiconductors). A curious feature of Chinese exports is that most of them are produced by non-Chinese firms operating in China. These firms source a lot of components from around the world to be assembled in China. Meticulous research on “Designed in California, Assembled in China” Apple iPhones and iPads finds that that 60% to 70% of their value comes from imports from economies such as Germany, Japan, South Korea, Taiwan, and the United States.

The real value-added in China is about 10%—Apple captures the rest. Given that iPhones and iPads are made in China by Taiwan-based Foxconn, which repatriates some of its earnings to Taiwan, the real value-added that stays in China due to all that hard work to assemble and export iPhones and iPads is significantly less than 10%. While iPhones and iPads may be extreme cases, overall China only adds 67% of the value of its exports. In comparison, the United States adds 89% of the value to its exports (see the [Closing Case](#)).

China does enjoy the world's second-largest merchandise trade surplus (US\$259 billion)—behind Germany's slightly larger merchandise surplus (US\$264 billion). At the same time, China suffers from the world's biggest deficit in service trade (US\$124 billion). As an active trader of services, China is fifth in service exports (behind the United States, Britain, Germany, and France) and second in service imports (behind the United States). Its leading contributor to service trade deficit is tourism. As the largest group of international tourists, one out of every ten international tourists is now Chinese. As a group, they spend more and focus more on shopping. In 2013, they spent US\$129 billion, followed by American tourists who spent US\$86 billion. The average Chinese tourist indulges him/herself with US\$1,130 tax-free purchases vis-à-vis US\$494 by the average Russian tourist.

With US\$4.2 trillion in merchandise trade, China is the world's largest merchandise trader. However, adding all the merchandise exports and imports as well as service exports and imports (see [Table 5.1](#)), China, whose total trade volume is US\$4.7 trillion, is *not* the largest trading nation. It is the second-largest trading nation. With a total trade volume of US\$5 trillion, the United States is the world's trade champion. In percentage terms, a substantially higher percentage (53%) of Chinese GDP is traded vis-à-vis a lower 30% of US GDP that is traded. In the next decade, as the overall size of the Chinese economy becomes larger than the US economy, it is likely that China will dethrone the United States to become the largest trading nation. While examining the total volume of trade is interesting, on a per capita basis, China only ranks 99th in the world given its huge population of 1.34 billion.

Table 5.1

Leading Trading Nations

	Top 10 <i>merchandise</i> exporters	Value (US\$ billion)	World share (%)	Annual change (%)		Top 10 <i>merchandise</i> importers	Value (US\$ billion)	World share (%)	Annual change (%)
1	China	2,209	11.7%	8%	1	United States	2,329	12.3%	0%
2	United States	1,580	8.4%	2%	2	China	1,950	10.3%	7%

	Top 10 <i>merchandise</i> exporters	Value (US\$ billion)	World share (%)	Annual change (%)		Top 10 <i>merchandise</i> importers	Value (US\$ billion)	World share (%)	Annual change (%)
3	Germany	1,453	7.7%	3%	3	Germany	1,189	6.3%	2%
4	Japan	715	3.8%	-10%	4	Japan	833	4.4%	-6%
5	Netherlands	672	3.6%	3%	5	France	681	3.6%	1%
6	France	580	3.1%	2%	6	United Kingdom	655	3.5%	-5%
7	South Korea	562	3.0%	2%	7	Hong Kong, China	622	3.3%	12%
8	United Kingdom	542	2.9%	15%	8	Netherlands	590	3.1%	0%
9	Hong Kong, China	536	2.8%	9%	9	South Korea	516	2.7%	-1%
10	Russia	523	2.8%	-1%	10	Italy	477	2.5%	-2%
	World total	18,816	100%	2%		World total	18,890	100%	2%
	Top 10 <i>service</i> exporters	Value (US\$ billion)	World share (%)	Annual change (%)		Top 10 <i>service</i> importers	Value (US\$ billion)	World share (%)	Annual change (%)
1	United States	662	14.3%	5%	1	United States	432	9.8%	4%
2	United Kingdom	293	6.3%	2%	2	China	329	7.5%	18%
3	Germany	286	6.2%	8%	3	Germany	317	7.2%	8%
4	France	236	5.1%	10%	4	France	189	4.3%	8%

Top 10 <i>merchandise</i> exporters		Value (US\$ billion)	World share (%)	Annual change (%)	Top 10 <i>merchandise</i> importers		Value (US\$ billion)	World share (%)	Annual change (%)
5	China	205	4.4%	7%	5	United Kingdom	174	4%	−1%
6	India	151	3.2%	4%	6	Japan	162	3.7%	−7%
7	Netherlands	147	3.2%	12%	7	Singapore	128	2.9%	4%
8	Japan	145	3.1%	2%	8	Netherlands	127	2.9%	7%
9	Spain	145	3.1%	6%	9	India	125	2.8%	3%
10	Hong Kong, China	133	2.9%	6%	10	Russia	123	2.8%	18
World total		4,644	100%	6%	World total		4,381	100%	11%

Source: Adapted from *World Trade Organization, 2014, World Trade Report 2014, Appendix Tables 3 and 5, Geneva: WTO (www.wto.org)*. All data are for 2013.

Sources: Based on (1) *Bloomberg Businessweek, 2014, Taiwan's protests point to a deeper crisis, April 17: 17–18*; (2) *Economist, 2014, A number of great import, February 15: 40*; (3) *Economist, 2014, Coming to a beach near you, April 19: 53–54*; (4) *Economist, 2014, Picking the world champion of trade, January 18: 72–73*; (5) *Economist, 2014, Trading places, April 5: 49*; (6) *M. W. Peng & K. Meyer, 2013, Winning the future markets for UK manufacturing output, Future of Manufacturing Project Evidence Paper 25, London: UK Government Office for Science*; (7) *World Trade Organization, 2014, World Trade Report 2014, Geneva: WTO*.

Why are Chinese merchandise exports so competitive in the world? Why does China's service trade suffer a huge deficit? More generally, how does international trade contribute to a nation's economic growth and prosperity? International trade is the oldest and still the most important building block of international business. It has never failed to generate debates. Debates on international trade tend to be very ferocious, because so much is at stake. We begin by addressing a crucial question: Why do nations trade? Then we outline how the two core perspectives introduced in earlier chapters—namely, resource-based and institution-based views—can help answer this question. The remainder of the chapter deals

with the theories and realities of international trade. As before, debates and implications for action follow.

Chapter 5: Trading Internationally Chapter Introduction

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